

Whichever target is going to be met, it's going to be met on *this advance*, since wave (5) will be the last rise in the bull market dating from 1974.

As the peak approached, the near term wave structure, as shown in Figures 7-2 from July 30 and 7-3 from August 27, 1993, helped pinpoint the top. These dramatic charts, and this brief commentary from the August 27 *Elliott Wave Theorist*, described the scene as it unfolded:

The Dow Jones Utility Average has moved closer to the peak of wave (5) in the advance from the 1992 low. Notice [in Figure 7-3] the parallel channel of wave (5) within the parallel channel of wave (5). *When the peak arrives, the major bull market from 1974 will be over in this index.*

The DJUA registered its closing high on September 13, 1993 at 256.46. Here are *The Elliott Wave Theorist's* comments in the months immediately following the turn, on October 29, 1993 (first paragraph) and February 25, 1994 (second paragraph):

Stock price movements precede fundamental events. Interest rate sensitive utility stocks turned down on September 13, anticipating a low in bond yields, which appears to have occurred on October 15. *The Elliott Wave Theorist* gave plenty of warning of an impending turn in the DJUA, following the developing wave count in several issues this summer. Finally, the August 27 issue showed a chart of the Dow Jones Utilities with a nearly completed structure, requiring only wave 5 of (5), a brief, final rally, which occurred in September. The DJUA has been plummeting ever since [see Figure 7-4]. The drop has received little notice in the press.

Leading the bonds by two months, the Dow Jones Utility Average is in free-fall, having retraced over half of its rise from the 1987 low since EWT identified the peak last August. Despite widespread claims that the drop has produced bargains, there is no indication yet that the average is bottoming. The DJUA is also the first index to break its 19-year trendline dating from the 1974 low [see trendline in updated Figure 7-6].

The value of the perspective provided by the analysis at that high can hardly be overstated. In the ensuing Fibonacci 13 months, the DJUA dropped 28.15%, leading the record breaking plunge in